

Financial Analysis Report

Executive Summary

As of April 30, 2024, the company maintains total assets of ₹1,845.55 million, funded primarily through debt (89.3% of total capital). The capital structure shows high leverage with significant long-term borrowings of ₹518.17 million and substantial current liabilities of ₹1,129.98 million. Current assets of ₹1,314.47 million provide adequate coverage for short-term obligations, while the company generated ₹79.80 million in current year profit.

Profitability Analysis

- Current Year Profit:** ₹79,799,448.87
- Return on Equity (ROE):** 40.4% (₹79.80M profit / ₹197.39M equity)
- Profit Margin:** Cannot be calculated without revenue data
- Key Observation:** High ROE indicates efficient use of equity capital, though this is amplified by low equity base

Liquidity & Solvency Analysis

- Current Ratio:** 1.16 (₹1,314.47M current assets / ₹1,129.98M current liabilities)
- Quick Ratio:** 0.65 (excluding inventory: ₹748.71M / ₹1,129.98M)
- Debt-to-Equity Ratio:** 8.35 (₹1,648.15M total liabilities / ₹197.39M equity)
- Debt-to-Assets Ratio:** 89.3% (₹1,648.15M liabilities / ₹1,845.55M assets)
- Interest Coverage:** Cannot be calculated without interest expense data

Efficiency Ratios

- Fixed Assets Turnover:** Cannot be calculated without revenue data
- Working Capital:** ₹184.48 million (₹1,314.47M current assets - ₹1,129.98M current liabilities)

- **Inventory to Current Assets:** 43.0% (₹565.75M inventory / ₹1,314.47M current assets)
- **Receivables to Current Assets:** 38.2% (₹501.90M receivables / ₹1,314.47M current assets)

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (ICRA, CRISIL)

Metric	Company	Industry Average	Assessment
Current Ratio	1.16	1.5-2.0	Below Average
Debt-to-Equity	8.35	1.5-2.5	Significantly High
ROE	40.4%	15-20%	Above Average
Quick Ratio	0.65	1.0-1.2	Below Average

Actionable Recommendations

1. **Debt Restructuring:** Immediately address the high debt-to-equity ratio of 8.35 by considering equity infusion or debt conversion options
2. **Working Capital Management:** Improve current ratio from 1.16 to at least 1.5 by optimizing inventory levels and accelerating receivables collection
3. **Liquidity Enhancement:** Increase quick ratio from 0.65 to above 1.0 by reducing inventory holding period and improving cash position
4. **Cost of Capital Review:** Evaluate the cost of existing debt and explore refinancing options given the high leverage
5. **Operational Efficiency:** Focus on converting high inventory (43% of current assets) and receivables (38% of current assets) into cash
6. **Capital Structure Optimization:** Consider raising additional equity to reduce dependency on debt financing

Risk Assessment

High Risk Areas: Excessive leverage, weak liquidity position, high dependency on short-term funding

Strengths: Strong ROE, profitable operations, adequate fixed asset base